

AI generated -- for internal use only.

Quarters covered: 2025_Q1, 2025_Q2, 2025_Q3, 2025_Q4, 2026_Q1, 2026_Q2

Framing

- The discussion of AI evolved from being proactively raised by management in 2025_Q1 as a standard part of their investment agenda to being exclusively reactive to analyst questions in 2025_Q2, 2025_Q3, 2026_Q1, and 2026_Q2. In 2025_Q4, it was mentioned in response to a question but proactively listed as an opportunity area. [1][2][3][4][5]
- AI's framing shifted significantly over the period. Initially presented as a general, long-term technology investment in 2025_Q1, it was viewed as a usable tool in 2025_Q2. By 2025_Q3, the focus narrowed to AI as an efficiency tool for controlling headcount growth. In 2025_Q4, it was framed as a competitive necessity whose efficiency gains would be passed to customers. This view was reinforced in 2026_Q1 and 2026_Q2, with an added emphasis on using AI to enhance client services and create new product adjacencies. [1][6][7][8][9][10]
- Management's perspective on AI's net effect changed from neutral/unspecified in 2025_Q1 and 2025_Q2 to an opportunity for productivity gains in 2025_Q3 and a 'huge opportunity' in 2025_Q4. A more balanced view emerged in 2026_Q1, acknowledging both significant opportunities and substantial risks like cybersecurity. By 2026_Q2, the focus returned to AI as a significant opportunity, with risks not being mentioned in the discussion. [11][12][13][14][15]
- The tone of the AI discussion evolved from neutral and resolute in 2025_Q1 to pragmatic and dismissive of acquiring an LLM in 2025_Q2. A cautious and pragmatic tone was adopted in 2025_Q3, warning against hype. This pragmatism continued through 2025_Q4 and into 2026_Q1, which also introduced cautious optimism. By 2026_Q2, the tone became more engaged, describing AI as a 'mini-revolution' while remaining pragmatic about who benefits financially. [1][6][15][16][17]

Execution & Investment

- Across all six quarters, management consistently avoided disclosing specific investment figures for AI, using phrases like 'spending a lot of money' in 2025_Q3 and 'will be spending more' in 2025_Q4. In 2026_Q2, a 'meaningful acceleration' in 'token expense' was mentioned for the first time, though the full-year impact was described as 'trivial'. [1][18][19][20]
- Characterization of AI's ROI evolved. After no mention of ROI in 2025_Q1 and 2025_Q2, management in 2025_Q3 described ROI as hard to prove, with benefits showing up in constrained expense growth. From 2025_Q4 through 2026_Q2, a consistent theme emerged: AI's efficiency gains would be a competitive necessity, with benefits ultimately passed to customers rather than retained as higher margins. [9][21][22][23]
- Specific AI use cases were not mentioned until 2026_Q1, which named risk management, fraud reduction, prospecting, and testing the 'Mythos' model for cybersecurity. The 'AI cash tool' was also introduced as an 'experiment'. The level of detail increased significantly in 2026_Q2, with mentions of almost 1,000 use cases, 50 of which were important, across areas like marketing, hedging, and note-taking. [24][25][26]
- Discussion of the company's AI sourcing strategy first appeared in 2025_Q2, stating a reliance on external, 'agnostic' use of LLMs. In 2025_Q4, the narrative shifted to 'building more AI systems' internally. The strategy appeared to evolve to a hybrid approach by 2026_Q1, referencing testing of an external model ('Mythos'), and was confirmed in 2026_Q2 with talk of using the 'right models for the right purpose', including open source. [6][27][28][29]
- The workforce impact of AI was first mentioned in 2025_Q3, where AI-driven productivity was cited as a reason to 'constrain headcount growth'. The first mention of actual job reductions occurred in 2026_Q2, where management disclosed that 'discrete areas' had seen job reductions of 30-40%, with most affected employees being retrained and redeployed. [30][31]

Competitive Landscape

- Management's positioning relative to peers on AI changed over time. After no comment in the first half of 2025, they positioned the firm as experienced and ahead of the trend in 2025_Q3. In 2025_Q4, the goal was to be 'best in the world in tech'. By 2026_Q1 and 2026_Q2, the message was more nuanced, suggesting that any lead would be temporary as competitors would also adopt AI, making it a matter of keeping pace. [32][33][34][35]
- Non-traditional competitors were only mentioned in relation to AI in 2025_Q2, when an analyst brought up Apple's potential moves in the space. Management did not engage on this point. In 2025_Q4, fintechs were named as general competitors in the context of justifying tech spend, which included AI. In 2026_Q2, fintechs were mentioned again as having access to AI through vendors. [36][37][38]

Outlook & Credibility

- Across the entire period, management consistently avoided making specific, quantifiable, or time-bound pledges about its AI efforts. Commitments remained vague, from pledging to continue investment in 2025_Q1 to building more systems in 2025_Q4, with no specific targets, timelines, or deliverables ever provided. [1][27][39]
- Management's outlook on the broader AI landscape was absent until 2025_Q3, when they acknowledged the 'overwhelming' AI theme in the marketplace. A consistent outlook emerged from 2025_Q4 to 2026_Q2, predicting that AI would become a standard competitive tool whose efficiency benefits would be passed on to customers rather than boosting bank margins. [17][38][40][41]
- The specificity of AI-related claims evolved. Initially very vague in 2025_Q1, 2025_Q2, and 2025_Q3, claims gained some qualitative detail in 2025_Q4 and 2026_Q1. By 2026_Q2, claims became more concrete, with management quantifying the number of use cases and the percentage of job reductions in certain areas, though financial details remained vague. [1][42][43][44]

Evidence

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[1]	2025_Q1	8	Jamie Dimon Chairman & Chief Executive Officer, JPMorganChase	The investment that we do in banks, branches, technology, AI is going to continue regardless of the environment.
[2]	2025_Q2	7	Steven Alexopolous Analyst, TD Securities	Hey, good morning, everyone. I wanted to start, Jeremy, going back to your comments on inorganic things being on the table in terms of use of excess capital. So when I look at the company, so you're the largest U.S. bank by assets, you're also the largest in terms of the data you see every day. And you may or may not have seen that Apple's looking at possibly, there's chatter, getting into the AI game more by looking at a company such as a Perplexity. Just thinking out loud here, would it make sense for JPMorgan to consider acquiring an LLM, right? The last two quarters of buybacks are about the last valuation round for Perplexity, right. I'm thinking of you guys, you could become the LLM for the financial services industry. What are your thoughts on this? And I guess just one follow-up on your comments around expenses. I think there's a lot of discussion among shareholders whether AI and AI-driven productivity gains mean something for the banks as we look out over the next two to three years. You all have obviously talked about this at the Investor Day. I'm just trying to contextualize, when you talk about the expense growth outlook or just sort of preliminary indication for next year, how should bank shareholders think about AI-led productivity gains in terms of making a dent on the expense growth either next year or for the next few years?
[3]	2025_Q3	7	Ebrahim H. Poonawala Analyst, BofA Securities, Inc.	
[4]	2025_Q4	13	Jamie Dimon Chairman & Chief Executive Officer, JPMorganChase	But for the most part - and tech is going to go up. But the good news is when we look at the world, we see huge opportunity. We're opening rural branches which we think will be good. We're opening more branches in foreign countries. We're building better payment systems. We're adding better personalization in consumer banking, credit card. We're adding AI across the company. And those are all opportunities.
[5]	2026_Q2	7	Jim Mitchell (Analyst, Seaport Global Securities LLC)	But just when I think about the benefits of AI and technology generally, is there a time over the intermediate term where you think expense growth could slow a little and operating leverage kind of becomes more likely in a period of time over the next few years?
[6]	2025_Q2	7	Jamie Dimon Chairman & Chief Executive Officer, JPMorganChase	We use LLMs, and we're going to be agnostic about that, too. There's no reason for us to own one. At least we can't figure out why that would make sense.
[7]	2025_Q3	8	Jeremy Barnum Chief Financial Officer, JPMorganChase	What we're saying instead is let's just do old-fashioned expense discipline and constrain people's growth - constrain people's headcount growth. We've talked about that last year. We're going to do the same this year, have a very strong bias against having the reflective (sic) [reflexive] response to any given need to be to hire more people and feeling a little bit more confident on our ability to put that pressure on the organization, because we know that even if we can't always measure it that precisely, there are definitely productivity tailwinds from AI. So, that's how we're going to do it, and hopefully, that'll show up in lower growth than we would have had otherwise.
[8]	2025_Q4	15	Jamie Dimon Chairman & Chief Executive Officer, JPMorganChase	We will be spending more in - I think that AI - we will be spending more, but it is not a big driver. I do think it'll be driving more efficiency down the road. But I'd also point out about that, efficiency, because other banks have to do it too, will eventually be passed on to the customer. This isn't like you're going to build 3 points of margin and you get to keep it - you don't. So, you need to build some of these things just to keep up.
[9]	2026_Q1	15	Jamie Dimon	I think it's a bad idea to think that you're going to deploy AI and improve your efficiency ratio, because in the competitive world, I'm going to do it, everyone else is going to do it, and the benefits will be passed on to the marketplace.
[10]	2026_Q2	7	Jamie Dimon (Chairman & Chief Executive Officer, JPMorganChase)	And AI still remains to be seen, because the other thing I think about AI, which is a little bit different than everybody else, is you don't uniquely benefit from AI. The ultimate beneficiary of AI will be our customers. And in a competitive capitalist world, we all will use AI to do a better job for the customers, and we can't just say, oh, it's going to increase our margins and we're going to keep that.
[11]	2025_Q3	8	Jeremy Barnum Chief Financial Officer, JPMorganChase	we know that even if we can't always measure it that precisely, there are definitely productivity tailwinds from AI.

[12]	2025_Q4	13	Jamie Dimon Chairman & Chief Executive Officer, JPMorganChase	But the good news is when we look at the world, we see huge opportunity. We're opening rural branches which we think will be good. We're opening more branches in foreign countries. We're building better payment systems. We're adding better personalization in consumer banking, credit card. We're adding AI across the company. And those are all opportunities.
[13]	2026_Q1	14	Jamie Dimon	In fact, I think I said in the Chairman's Letter, it's our largest risk. So, I think every industry is different. So, in context, I think JPMorgan is very well-protected. We spend a lot of money. We've got top experts. We're in constant contact with the government. We're constantly updating things. But AI has made it worse. It's made it harder.
[14]	2026_Q1	15	Jeremy Barnum	there's been a clear understanding that AI and generative AI in particular brings both risks and opportunities from the cyber risk management perspective.
[15]	2026_Q2	12	Jamie Dimon (Chairman & Chief Executive Officer, JPMorganChase)	This will be faster. This will be dramatic. The whole company is involved in it. We have our offsite in July. You can imagine this is a big topic everywhere from front office to mid-office, to back office, to marketing, to risk, you name the subject, and more to come. But we're kind of in the midst of this mini-revolution, and we'll report to you.
[16]	2025_Q3	7	Jeremy Barnum Chief Financial Officer, JPMorganChase	And I think for us, running a company of this type, we need to make sure we stay anchored in like facts and reality and tangible outcomes.
[17]	2026_Q1	15	Jamie Dimon	So, it will enhance a lot of things you can do directly and it will create more adjacencies, in my opinion, if you can use it quickly and wisely.
[18]	2025_Q3	7	Jeremy Barnum Chief Financial Officer, JPMorganChase	We're putting a lot of energy into this. A lot of people are spending a lot of time on it. We're spending a lot of money on it.
[19]	2025_Q4	15	Jamie Dimon Chairman & Chief Executive Officer, JPMorganChase	We will be spending more in - I think that AI - we will be spending more, but it is not a big driver.
[20]	2026_Q2	19	Jeremy Barnum (Chief Financial Officer, JPMorganChase)	We are forecasting some meaningful acceleration in that number for the second half of the year. But still nonetheless, the full year contribution of that is still trivial, and obviously, we had budgeted some of that. So, it's not in any way a meaningful driver of the current outlook or to the revision in the outlook.
[21]	2025_Q3	8	Jeremy Barnum Chief Financial Officer, JPMorganChase	So, that's how we're going to do it, and hopefully, that'll show up in lower growth than we would have had otherwise.
[22]	2025_Q4	15	Jamie Dimon Chairman & Chief Executive Officer, JPMorganChase	I do think it'll be driving more efficiency down the road. But I'd also point out about that, efficiency, because other banks have to do it too, will eventually be passed on to the customer. This isn't like you're going to build 3 points of margin and you get to keep it - you don't. So, you need to build some of these things just to keep up.
[23]	2026_Q2	7	Jamie Dimon (Chairman & Chief Executive Officer, JPMorganChase)	The ultimate beneficiary of AI will be our customers. And in a competitive capitalist world, we all will use AI to do a better job for the customers, and we can't just say, oh, it's going to increase our margins and we're going to keep that.
[24]	2026_Q1	15	Jamie Dimon	We do a lot to reduce risk and fraud and scam by using AI. We do a lot better job of prospecting.
[25]	2026_Q1	4	Jeremy Barnum	But I think the right way to think of it is sort of as an experiment right now.
[26]	2026_Q2	12	Jamie Dimon (Chairman & Chief Executive Officer, JPMorganChase)	And I think there's almost 1,000 use cases today, though I would say that the really important ones are 50 -probably 50 across risk, fraud, marketing, hedging, prospecting, note-taking, idea generation, document reading. And it's kind of just starting.
[27]	2025_Q4	15	Jamie Dimon Chairman & Chief Executive Officer, JPMorganChase	It's going to go up a bit. But Mike, we have - we're building more payment systems. We're building more AI systems.
[28]	2026_Q1	14	Jamie Dimon	Of course, we read about Mythos, which we're testing now and looking at.

[29]	2026_Q2	19	Jeremy Barnum (Chief Financial Officer, JPMorganChase)	So, the idea is use the right model for the right purpose, be smart about open source where appropriate, and ensure that you're getting value out of it ultimately in the end.
[30]	2025_Q3	8	Jeremy Barnum Chief Financial Officer, JPMorganChase	What we're saying instead is let's just do old-fashioned expense discipline and constrain people's growth - constrain people's headcount growth. We've talked about that last year. We're going to do the same this year, have a very strong bias against having the reflective (sic) [reflexive] response to any given need to be to hire more people and feeling a little bit more confident on our ability to put that pressure on the organization, because we know that even if we can't always measure it that precisely, there are definitely productivity tailwinds from AI.
[31]	2026_Q2	12	Jamie Dimon (Chairman & Chief Executive Officer, JPMorganChase)	We are preparing to make sure we can retrain our people, and we have had discrete areas where we did reduce jobs by 30% or 40%. And most of those people were offered jobs elsewhere.
[32]	2025_Q3	7	Jeremy Barnum Chief Financial Officer, JPMorganChase	As Jamie always says, we've been doing it for a long time, well before the current generative AI boom.
[33]	2025_Q4	15	Jamie Dimon Chairman & Chief Executive Officer, JPMorganChase	But there isn't an area where you - if you dug into it that you wouldn't say, yeah, you want to be - you better be the best in the world in tech.
[34]	2026_Q1	15	Jamie Dimon	I think it's a bad idea to think that you're going to deploy AI and improve your efficiency ratio, because in the competitive world, I'm going to do it, everyone else is going to do it, and the benefits will be passed on to the marketplace. It's not like you're entitled to have your ROE go to 50% and that'll stay there because you do it better than everybody else. You may get a head start, you want a head start, but I think that's just not a rational thing that somehow that will be the ultimate outcome.
[35]	2026_Q2	13	Jamie Dimon (Chairman & Chief Executive Officer, JPMorganChase)	But I do also want to point out, maybe you could be ahead of other people kind of, but what always happens is the benefit accrues to the customer, not to the -the JPMorgan in this case, because other people are doing the same thing and presumably it leads to lower cost and lower error rates and a bunch of things.
[36]	2025_Q2	7	Steven Alexopolous Analyst, TD Securities	And you may or may not have seen that Apple's looking at possibly, there's chatter, getting into the AI game more by looking at a company such as a Perplexity.
[37]	2025_Q4	15	Jamie Dimon Chairman & Chief Executive Officer, JPMorganChase	And you know we have - we look at - and we look at all of our competitors, but those competitors include all the fintechs. You have Stripe. You have SoFi. You have Revolut. You have Schwab. You have everyone out there.
[38]	2026_Q2	12	Jamie Dimon (Chairman & Chief Executive Officer, JPMorganChase)	I also think that over time, remember, this will be offered to smaller competitors too through Fiserv and FIS and other fintech-kind companies.
[39]	2026_Q2	12	Jamie Dimon (Chairman & Chief Executive Officer, JPMorganChase)	We have our offsite in July. You can imagine this is a big topic everywhere from front office to mid-office, to back office, to marketing, to risk, you name the subject, and more to come. But we're kind of in the midst of this mini-revolution, and we'll report to you.
[40]	2025_Q3	7	Jeremy Barnum Chief Financial Officer, JPMorganChase	But I think the risk is, because of how incredibly overwhelming the AI theme is for the whole marketplace right now and all the various effects that it's having in terms of equity market performance, Mag 7, data center build-out, electricity cost, like it's an overwhelming thing.
[41]	2025_Q4	15	Jamie Dimon Chairman & Chief Executive Officer, JPMorganChase	But I'd also point out about that, efficiency, because other banks have to do it too, will eventually be passed on to the customer. This isn't like you're going to build 3 points of margin and you get to keep it - you don't. So, you need to build some of these things just to keep up.
[42]	2025_Q3	7	Jeremy Barnum Chief Financial Officer, JPMorganChase	in the end, the proof is going to be in the pudding in terms of actually slowing the growth of expenses. And so, what we're doing is kind of rather than saying, you must prove that you're generating this much savings from AI, which turns out to be a very hard thing to do, hard to prove

[43]	2026_Q2	12	Jamie Dimon (Chairman & Chief Executive Officer, JPMorganChase)	And I think there's almost 1,000 use cases today, though I would say that the really important ones are 50 -probably 50 across risk, fraud, marketing, hedging, prospecting, note-taking, idea generation, document reading.
[44]	2026_Q2	12	Jamie Dimon (Chairman & Chief Executive Officer, JPMorganChase)	We are preparing to make sure we can retrain our people, and we have had discrete areas where we did reduce jobs by 30% or 40%.